

strong trend just because there was a short-term counter-move, and a good filter rule can help you with that. An easy method is to use two layers of trend measurement of different time horizons, such as a 200-day moving average for a long-term trend filter and a shorter moving average for trend-entry signals. Requiring both indicators to agree ensures that you only enter into trades in the direction of the longer-term predominant trend. For the initial strategies presented in this section of the book, I don't employ a trend filter. The point of doing so is just to keep the models as simple as possible for the first demonstration, and then I will add more features to them later to see how the results are impacted.